



Rebuilding Trust in Woolworths:

AN INTEGRATED SWOT AND TRUST EQUATION APPROACH

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PROBLEM & CONTEXT



The Issue of Woolworths:

The Australian Competition and Consumer Commission has charged the firm with deceptive pricing on 500+ products in "Prices Dropped" and "Down Down" promotions that involve short-term price increments and then offer final discounts that mislead consumers into believing they are saving money, while diminishing price information (ACCC, 2024b).



Industry Context:

Woolworths is a company of a large Australian supermarket retailer that is competing with Coles Group in a highly competitive retail market with a large urban consumer base.



Consumer Trust Impact:

Such pricing practices can undermine consumer trust, particularly among ethically sensitive consumers, leading to switching behaviour and reduced brand loyalty.

How can Woolworths return confidence among high ethical customers after misleading pricing practices while remaining competitive in the retail market?

METHODOLOGY

explains behaviour

explains perception

Strengths

Internal capabilities (e.g. brand, resources, technology) that create competitive advantage

Weaknesses

Internal limitations (e.g. inefficiencies, resource gaps) that constrain performance

SWOT analysis

Opportunities

External conditions (e.g. market trends, demand shifts) enabling growth

Threats

External risks (e.g. competition, cost pressures) affecting performance

DEFINITION

A structured, data-driven framework that evaluates how internal capabilities and external conditions shape organisational performance and strategic decisions (Kenton, 2025).

FUNCTION:

- Identifies key drivers influencing strategic behaviour
- Supports evaluation of current position and future potential

VALUE:

- Simplifies complex business environments
- Supports strategic prioritisation and decision-making

The Trust Equation

Trustworthiness is determined by the combined effect of credibility, reliability, and intimacy, moderated by perceived self-orientation.

DEFINITION

FUNCTION: Decomposes trust into key dimensions to explain how behaviour influences stakeholder trust perception.
VALUE: Provides a diagnostic lens to understand trust formation and identify the drivers of trust erosion.

Perceived expertise and believability of communication

Emotional safety and relational closeness

(Credibility + Reliability + Intimacy) ÷ Self-Orientation = Trust

Consistency between promises and actions over time

Perceived self-interest, which reduces trust when high

Together,

the two frameworks provide complementary perspectives, combining a structural analysis of organisational behaviour with a perceptual analysis of consumer trust.

The aim is to systematically explain how organisational behaviour translates into perceived trust outcomes, particularly in the context of misleading pricing.

SWOT ANALYSIS

Addressing SWOT Limitations



1. Oversimplifies dynamic situations and is prone to subjectivity (Kenton, 2025)

Analysis is strengthened through a causal chain (factor → behaviour → perception) to capture underlying mechanisms

2. Provides a structural but static view of the problem

Complemented by the Trust Equation to incorporate consumer perception and behavioural interpretation

3. Unable to define specific solutions or actionable strategies

Extended through TOWS to translate insights into strategic responses

IDENTIFYING KEY DRIVERS OF MISLEADING PRICING

ENABLE PRICING POWER

- reduces consumer price sensitivity
- enables aggressive or misleading pricing strategies
- weakens perceived fairness → trust declines

INCENTIVISE PROFIT-DRIVEN BEHAVIOUR

- encourage short-term pricing tactics
- prioritise financial outcomes over consumer clarity
- increases perceived self-orientation

Strong market position and brand dominance

- Brand history reputation accumulation
- Strong financial capital
- Professional operation teams

Strengths

Complex pricing structures and promotion mechanisms

- Low profit margin
- Highly rely on Australia market
- High operation costs

Weaknesses

Opportunities

- Public activity donations
- Discount compensations
- Self-enhancement ESG regulations

Competitive pressure and profit maximisation incentives

Threats

- Consumer credit risks
- Suppliers break partnership
- Intensity competition

Regulatory scrutiny and rising consumer awareness

REDUCE TRANSPARENCY

- increase information asymmetry
- make pricing less transparent to consumers
- lowers credibility and reliability

AMPLIFY TRUST RISK

- expose misleading practices
- increase reputational damage
- accelerates trust erosion and switching behaviour

THE TRUST EQUATION MODEL

C (Credibility) + R (Reliability) + I (Intimacy) ÷ S (Self-Orientation) = Trust

C

Factual Bankruptcy

ACCC allegations regarding 245+ products with illusory discounts.

When "Was/Now" labels contradict historical data, the brand suffers from Cognitive Dissonance. Consumers no longer view Woolworths as an honest expert; the brand's voice loses its authority.

R

The Consistency Gap

Systemic "hike-to-discount" tactics (increasing prices for 20 days only to drop them).

This action contravenes the Predictability Covenant of retail. With promotions becoming unpredictable and amphetaminized, the consumers lose the capacity to trust the brand in its value, and this provokes a transition to open competitors such as ALDI.

I

The Emotional Breach

Exploitative pricing during a nationwide cost-of-living crisis.

It is more than business; it reaches Survival Security. Woolworths' persona shifted between "Community Partner" and "Financial Predator," which leads to a paradigm shift depreciation of the relationship between Level 2 (Relational) and adversarial.

S

The Trust Killer

Systemic "hike-to-discount" tactics (increasing prices for 20 days only to drop them).

As shown in the equation, a Neutralizing Effect is that of an inflated denominator. High perceived selfishness is a compounder of distrust—whatever the numerator (discounts) has to say, the denominator (trust) will have less resulting Trust score is close to zero.

CRITICAL LIMITS:



- DUOPOLY POWER:** The location and the necessity of the goods are more important than 'trust'.
- PROFIT VS. ETHICS:** "Self-orientation" focus on profit is the business instinct of the enterprise.
- BEHAVIORAL GAP:** It is not always psychological resentment in retail that leads to financial loss.

ADVANTAGES:

- SURGICAL DIAGNOSIS:** S (Self-orientation) is the actual killer of trust; marketing will not counteract systemic greed.
- RELATIONAL DEPTH:** Grabs the systemic abuse of consumers by corporate interests in the face of the cost-of-living crisis in Australia.
- STRATEGIC CLARITY:** The direction of recovery: the departure of superficial brand promotion in favor of a radical decrease in institutional self-interest (S).

INTEGRATED FRAMEWORK

1

SWOT Drivers

Profit incentives and pricing power encourage Woolworths to adopt aggressive pricing strategies.

2

Misleading Pricing

These strategies result in misleading pricing practices, where prices are temporarily increased and then promoted as discounts.

3

Consumer Perception

Consumers interpret these practices as dishonest, leading to lower credibility, weaker reliability, and higher perceived self-orientation.

4

Trust Decline

As a result, consumer trust declines, creating reputational risk and reducing long-term customer loyalty.

KEY INSIGHTS

INSIGHT 1: Misleading pricing Structurally determined

INSIGHT 2: Consumer perception drives the decline of trust

INSIGHT 3: Self-orientation drives distrust

RECOMMENDATIONS

ACT 1: Greater pricing disclosure ⇒ greater trustworthiness

ACT 2: Uniformity of promotion behavior ⇒ greater trustworthiness

ACT 3: Less intense, offensive discounting ⇒ less self-focus